

BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2023

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**Burlington Community School
District**

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education		
Deborah Hatteberg	President	2023
Darven Kendell	Vice President	2025
Scott Mason	Board Member Resigned 11/3/2022	2025
Bryan Bross	Board Member Appointed 11/21/2022	2023
Anika McVay	Board Member	2023
Joel Sieren	Board Member	2023
Christi Burghoffer	Board Member	2025
Nancy Hoelzen	Board Member	2023

School Officials

Robert Scott	Superintendent	2023
Greg Reynolds	Board Secretary/Business Manager	2023
Ahlers & Cooney, P.C.	Attorney	2023
Lynch Dallas PC	Attorney	2023

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Certified Public Accountants
(a professional corporation)
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INDEPENDENT AUDITOR'S REPORT

To the Board of Education of Burlington Community School District:

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2023, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of the Burlington Community School District as of June 30, 2023 and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with U.S. general accepted accounting principles.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of Financial Statements section of our report. We are required to be independent of Burlington Community School District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our audit. We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Burlington Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 16 and 48 through 54 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2022 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards, is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated March 12, 2024 on our consideration of Burlington Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.



NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2024
Newton, Iowa

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2023. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2023 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$75,066,335 at July 1, 2022 to \$86,288,287 at June 30, 2023. Total revenues increased 5.07% from \$65,636,114 in fiscal year 2022 to \$68,966,564 in fiscal year 2023, while total expenses increased 6.12% from \$54,416,563 in fiscal year 2022 to \$57,744,612 in fiscal year 2023. Revenues from capital grants, contributions and restricted interest increased \$3,443,617 compared to the prior year contributing to the increase in total revenues. The increase in expenses occurred mainly in the support services function.
- The District's General Fund revenues increased from \$54,851,849 in fiscal year 2022 to \$58,188,688 in fiscal year 2023, while General Fund expenditures increased from \$53,733,040 in fiscal year 2022 to \$58,524,700 in fiscal year 2023. The District's General Fund balance decreased from \$15,291,087 at June 30, 2022 to \$14,955,075 at June 30, 2023, a 2.20% decrease from the prior year.
- The increase in fiscal year 2023 General Fund revenues is due primarily to an increase in federal source received while the increase in expenditures was due primarily to an increase in operation and maintenance of plant costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

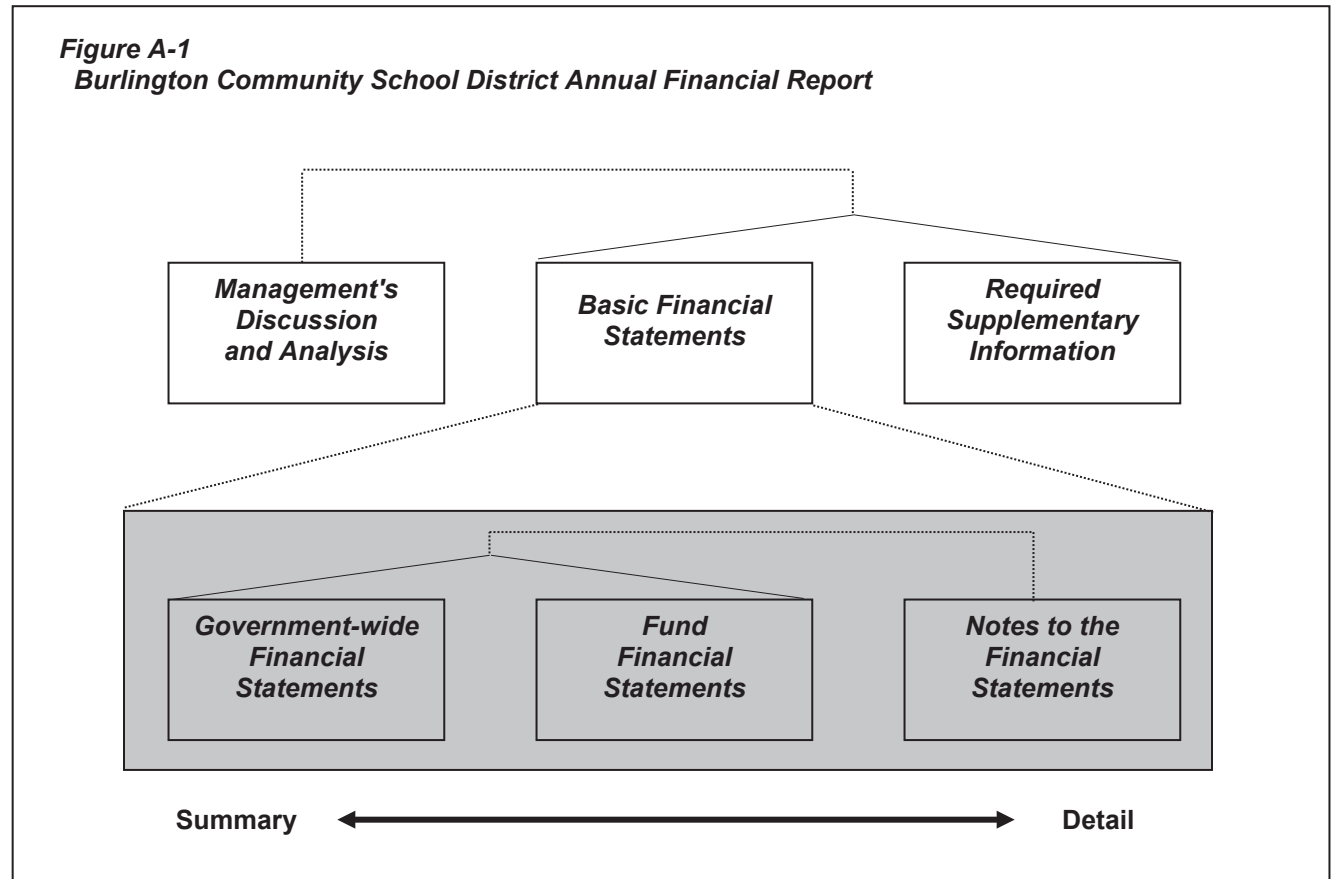


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service, Corse Early Childhood center, & Student construction	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	- Statement of net position - Statement of activities	- Balance sheet - Statement of revenues, expenditures, and changes in fund balances	- Statement of net position - Statement of revenues, expenses and changes in fund net position - Statement of cash flows	- Statement of fiduciary net position - Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow/ outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered. In the government-wide financial statements, the District's activities are divided into two categories:

-
- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
 - *Business type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) *Governmental funds:* Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) *Proprietary funds:* Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has three Enterprise Funds, the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) *Fiduciary funds:* The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.

- Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2023 compared to June 30, 2022.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2023	2022	2023	2022	2023	2022	2022-23
Current and other assets	\$ 92,807,399	51,550,615	1,017,436	978,999	93,824,835	52,529,614	78.61%
Capital assets	78,382,192	71,961,146	59,576	77,228	78,441,768	72,038,374	8.89%
Total assets	171,189,591	123,511,761	1,077,012	1,056,227	172,266,603	124,567,988	38.29%
Deferred outflows of resources	4,050,302	4,256,890	105,860	93,177	4,156,162	4,350,067	-4.46%
Long-term liabilities	59,589,827	11,118,539	376,947	32,163	59,966,774	11,150,702	437.78%
Other liabilities	11,352,943	8,689,871	73,411	68,472	11,426,354	8,758,343	30.46%
Total liabilities	70,942,770	19,808,410	450,358	100,635	71,393,128	19,909,045	258.60%
Deferred inflows of resources	18,667,752	33,518,346	73,598	424,329	18,741,350	33,942,675	-44.79%
Net position:							
Net investment in capital assets	67,146,564	64,140,043	59,576	77,228	67,206,140	64,217,271	4.65%
Restricted	19,611,971	13,240,609	-	-	19,611,971	13,240,609	48.12%
Unrestricted	(1,129,164)	(2,938,757)	599,340	547,212	(529,824)	(2,391,545)	77.85%
Total net position	\$ 85,629,371	74,441,895	658,916	624,440	86,288,287	75,066,335	14.95%

The District's total net position increased 14.95%, or \$11,221,952, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$6,371,362, or 48.12%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for debt service when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased \$1,861,721 or 77.85%. This increase in unrestricted net position was primarily the result of the increase in the District's pension related deferred outflows.

Figure A-4 shows the changes in net position for the year ended June 30, 2023 compared to the year ended June 30, 2022.

Figure A-4 Changes in Net Position								
	Governmental Activities		Business Type Activities		Total District		Total Change	
	2023	2022	2023	2022	2023	2022	2022-23	
Revenues:								
Program revenues:								
Charges for service	\$ 1,454,936	1,516,688	507,816	264,646	1,962,752	1,781,334	10.18%	
Operating grants, contributions and restricted interest	9,899,329	9,756,756	1,744,475	2,039,692	11,643,804	11,796,448	-1.29%	
Capital grants, contributions and restricted interest	4,758,794	1,315,177	-	-	4,758,794	1,315,177	261.84%	
General revenues:								
Property tax	13,737,919	15,136,990	-	-	13,737,919	15,136,990	-9.24%	
Statewide sales, services and use tax	4,703,661	5,394,479	-	-	4,703,661	5,394,479	-12.81%	
Unrestricted state grants	30,529,777	29,942,732	-	-	30,529,777	29,942,732	1.96%	
Unrestricted investment earnings	1,346,115	79,524	23,728	780	1,369,843	80,304	1605.82%	
Other	249,389	179,767	10,625	8,883	260,014	188,650	37.83%	
Total revenues	66,679,920	63,322,113	2,286,644	2,314,001	68,966,564	65,636,114	5.07%	
Program expenses:								
Instruction	33,481,375	32,763,023	466,745	332,137	33,948,120	33,095,160	2.58%	
Support services	17,242,781	15,404,657	110,413	90,019	17,353,194	15,494,676	11.99%	
Non-instructional programs	35,217	60,783	1,605,010	1,428,009	1,640,227	1,488,792	10.17%	
Other expenses	4,803,071	4,337,935	-	-	4,803,071	4,337,935	10.72%	
Total expenses	55,562,444	52,566,398	2,182,168	1,850,165	57,744,612	54,416,563	6.12%	
Excess (Deficiency) of revenues over (under) expenses	11,117,476	10,755,715	104,476	463,836	11,221,952	11,219,551	0.02%	
Transfers	70,000	120,000	(70,000)	(120,000)	-	-	0.00%	
Change in net position	11,187,476	10,875,715	34,476	343,836	11,221,952	11,219,551	0.02%	
Net position beginning of year	74,441,895	63,566,180	624,440	280,604	75,066,335	63,846,784	17.57%	
Net position end of year	\$ 85,629,371	74,441,895	658,916	624,440	86,288,287	75,066,335	14.95%	

In fiscal year 2023, property tax and use tax and unrestricted state grants accounted for 66.39% of the governmental activities revenues while charges for service and operating grants, contributions and restricted interest accounted for 98.50% of the business type activities revenues.

The District's total revenues were approximately \$68.97 million, of which approximately \$66.68 million was for governmental activities and approximately \$2.29 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 5.07% increase in revenues and a 6.12% increase in expenses. The primary reason for the increase in revenues was an increase in capital grants, contributions and restricted interest received. The increase in expenses occurred mainly in the support services functional area compared to the prior year.

Governmental Activities

Revenues for governmental activities were \$66,679,920 and expenses were \$55,562,444 for the year ended June 30, 2023.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2023 compared to those expenses for the year ended June 30, 2022.

Figure A-5						
Total and Net Cost of Governmental Activities						
Total Cost of Services			Net Cost of Services			
	2023	2022	Change 2022-23			Change 2022-23
Instruction	\$ 33,481,375	32,763,023	2.19%	25,041,477	24,651,315	1.58%
Support services	17,242,781	15,404,657	11.93%	11,565,616	12,932,764	-10.57%
Non-instructional programs	35,217	60,783	-42.06%	23,319	39,908	-41.57%
Other expenses	4,803,071	4,337,935	10.72%	2,818,973	2,353,790	19.76%
Total	\$ 55,562,444	52,566,398	5.70%	39,449,385	39,977,777	-1.32%

For the year ended June 30, 2023:

- The cost financed by users of the District's programs was \$1,454,936.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling \$14,658,123.
- The net cost of governmental activities was financed with \$13,737,919 in property tax, \$4,703,661 in statewide sales, services and use tax, \$30,529,777 in unrestricted state grants, \$1,346,115 in interest income, and \$249,389 in other general revenues.

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2023 were \$2,286,644, a 1.18% decrease from the prior year, and expenses were \$2,182,168, a 17.94% increase from the prior year. The District's business type activities include the School Nutrition Fund, Corse Early Childhood Center Fund and Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$66,506,914, above last year's ending combined fund balances of \$27,145,784. The increase in combined fund balances is largely due to the increase in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The District's General Fund financial position is the product of many factors. The General Fund balance decreased from \$15,291,087 at June 30, 2022 to \$14,955,075 at June 30, 2023. Total revenues increased from the prior year primarily due to increases in federal sources while total expenditures increased due primarily to increases in operation and maintenance of plant expenditures compared to the previous year.
- The Capital Projects Fund balance increased from \$5,878,478 at June 30, 2022 to \$41,685,006 at June 30, 2023. Revenues and expenditures both increased from the prior year. The Capital Projects Fund balance increased to \$36,365,000 at June 30, 2023 primarily due to unexpended bond proceeds.

Proprietary Fund Highlights

The School Nutrition Fund net position increased from \$494,609 at June 30, 2022 to \$619,405 at June 30, 2023, representing an increase of 25.23%. Revenues from charges for service increased \$198,512 from the prior year as total expenses increased compared to the prior year. The net position of the Corse Early Childhood Center Fund decreased from \$100,107 at June 30, 2022 to \$9,787 at June 30, 2023. The net position of the Student Construction Fund was unchanged.

BUDGETARY HIGHLIGHTS

The District's revenues were \$1,743,828 more than budgeted revenues, a variance of 2.59%. The most significant dollar variance resulted from the District receiving more from local sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2023, the District had invested approximately \$78.44 million, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net increase of 8.89% from last year. More detailed information about the District's capital assets is presented in Note 4 to the financial statements. Depreciation expense for the year was \$2,863,304.

The original cost of the District's capital assets was approximately \$134.11 million. Governmental activities accounted for approximately \$133.40 million of the total with the remainder of approximately \$0.71 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the construction in progress category. The District's construction in progress, totaled \$9,695,784 at June 30, 2023, compared to \$1,802,617 at June 30, 2022. This increase resulted primarily from the continued construction of the High School Air Quality project and High School additions and renovations project.

Figure A-6							
Capital Assets, Net of Depreciation/Amortization							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2023	2022	2023	2022	2023	2022	2022-23
Land	\$ 3,022,794	3,022,794	-	-	3,022,794	3,022,794	0.00%
Construction in progress	9,695,784	1,802,617	-	-	9,695,784	1,802,617	437.87%
Buildings	60,169,411	61,981,819	-	-	60,169,411	61,981,819	-2.92%
Land improvements	1,510,321	1,491,046	-	-	1,510,321	1,491,046	1.29%
Machinery and equipment	3,451,963	3,514,049	59,576	77,228	3,511,539	3,591,277	-2.22%
Right-to-use leased asset	531,919	148,821	-	-	531,919	148,821	257.42%
Total	<u>\$ 78,382,192</u>	<u>71,961,146</u>	<u>59,576</u>	<u>77,228</u>	<u>78,441,768</u>	<u>72,038,374</u>	<u>8.89%</u>

Long-Term Debt

At June 30, 2023, the District had \$44,181,611 of total long-term debt outstanding. This represents an increase of 464.90% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$43,655,000 at June 30, 2023, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

The District had outstanding lease agreement indebtedness of \$526,611 at June 30, 2023.

Figure A-7 Outstanding Long-Term Obligations			
	Total District		Total Change
	June 30,		June 30,
	2023	2022	2022-23
Revenue bonds	\$ 43,655,000	7,620,000	472.90%
Lease agreements	526,611	201,103	161.86%
Total	<u>\$ 44,181,611</u>	<u>7,821,103</u>	<u>464.90%</u>

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2023 at 2.5%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. As approximately 75% of the District's General Fund budget is comprised of salary and benefits, wage and salary increases realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.
- A nationwide labor shortage has made it difficult to retain and recruit staff. It may be necessary to increase salaries and benefits to recruit and retain staff which may negatively impact the District's budget.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment on October 2022 decreased by 56.6 students. The District's enrollment trend continues to decline every year with the district averaging a loss of 80 students over each the last five years. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- The Federal Covid-19 funds have helped the District continue to operate and expand staffing to address learning loss for students. These funds will be depleted in the 2023-2024 school year which will result in the District needing to prioritize and decrease spending to adjust for the loss of these funds.
- The Governor signed House File 68 in the 2023 legislative session which establishes a standing unlimited State general fund appropriation for an Education Savings Account Fund for students to attend non-public schools. It is unknown how many students will attend non-public schools in the District in future years. If a significant number of eligible public school students transition to non-public schools, it could have an adverse impact on the District's finances given the reduction in per pupil funding the District would otherwise receive.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2023

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 73,408,036	970,881	74,378,917
Receivables:			
Property tax:			
Delinquent	122,989	-	122,989
Succeeding year	14,704,347	-	14,704,347
Accounts	1,727	10,453	12,180
Lease	385,063	-	385,063
Internal balances	1,002	(1,002)	-
Due from other governments	4,177,485	15,066	4,192,551
Inventories	-	22,038	22,038
Prepaid expenses	6,750	-	6,750
Capital assets not being depreciated/amortized:			
Land and construction in progress	12,718,578	-	12,718,578
Capital assets, net of accumulated depreciation/amortization:			
Buildings, land improvements, machinery and equipment and right-to-use leased asset	65,663,614	59,576	65,723,190
Total assets	171,189,591	1,077,012	172,266,603
Deferred Outflows of Resources			
Pension related deferred outflows	3,259,771	100,448	3,360,219
OPEB related deferred outflows	790,531	5,412	795,943
Total deferred outflows of resources	4,050,302	105,860	4,156,162
Liabilities			
Accounts payable	4,263,557	9,493	4,273,050
Salaries and benefits payable	5,077,269	63,918	5,141,187
Accrued interest payable	196,038	-	196,038
Unamortized Bond premiums/discounts	1,816,079	-	1,816,079
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	1,575,000	-	1,575,000
Lease agreements	176,888	-	176,888
Compensated absences	197,117	5,161	202,278
Portion due after one year:			
Revenue bonds	42,080,000	-	42,080,000
Lease agreements	349,723	-	349,723
Net pension liability	13,273,381	358,519	13,631,900
Total OPEB liability	1,937,718	13,267	1,950,985
Total liabilities	70,942,770	450,358	71,393,128
Deferred Inflows of Resources			
Unavailable property tax revenue	14,704,347	-	14,704,347
Pension related deferred inflows	2,450,115	66,179	2,516,294
OPEB related deferred inflows	1,083,577	7,419	1,090,996
Lease related deferred inflows	329,492	-	329,492
Other	100,221	-	100,221
Total deferred inflows of resources	18,667,752	73,598	18,741,350
Net Position			
Net investment in capital assets	67,146,564	59,576	67,206,140
Restricted for:			
Categorical funding	1,202,153	-	1,202,153
Debt service	3,895,370	-	3,895,370
Management levy purposes	4,723,209	-	4,723,209
Student activities	358,672	-	358,672
Support trust purposes	693,544	-	693,544
School infrastructure	7,335,903	-	7,335,903
Physical plant and equipment	1,403,120	-	1,403,120
Unrestricted	(1,129,164)	599,340	(529,824)
Total net position	\$ 85,629,371	658,916	86,288,287

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2023**

	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position	
		Charges for Service	Operating Grants, Contributions and Restricted Interest	Capital Grants, Contributions and Restricted Interest	Governmental Activities	Business Type Activities
Functions/Programs:						
Governmental activities:						
Instruction:						
Regular	\$ 20,698,543	803,266	2,586,547	-	(17,308,730)	-
Special	7,324,004	249,796	1,799,877	-	(5,274,331)	-
Other	5,458,828	397,187	2,603,225	-	(2,458,416)	-
	33,481,375	1,450,249	6,989,649	-	(25,041,477)	-
Support services:						
Student	2,372,550	-	440,326	-	(1,932,224)	-
Instructional staff	1,838,675	-	110,415	-	(1,728,260)	-
Administration	5,596,120	-	290,879	-	(5,305,241)	-
Operation and maintenance of plant	5,814,291	-	25,868	4,758,794	(1,029,629)	-
Transportation	1,621,145	4,687	46,196	-	(1,570,262)	-
	17,242,781	4,687	913,684	4,758,794	(11,565,616)	-
Non-instructional programs:						
Food service operations	6,020	-	-	-	(6,020)	-
Community service operations	29,197	-	11,898	-	(17,299)	-
	35,217	-	11,898	-	(23,319)	-
Long-term debt interest	786,204	-	-	-	(786,204)	-
Other expenditures:						
AEA flowthrough	1,984,098	-	1,984,098	-	-	-
Depreciation/amortization (unallocated)*	2,032,769	-	-	-	(2,032,769)	-
	4,016,867	-	1,984,098	-	(2,032,769)	-
Total governmental activities	55,562,444	1,454,936	9,899,329	4,758,794	(39,449,385)	-
Business type activities:						
Instruction:						
Regular	466,745	230,683	254,740	-	-	18,678
Support services:						
Instructional staff	45,826	-	-	-	-	(45,826)
Administration	64,587	-	-	-	-	(64,587)
	110,413	-	-	-	-	(110,413)
Non-instructional programs:						
Food service operations	1,605,010	277,133	1,489,735	-	-	161,858
Total business type activities	2,182,168	507,816	1,744,475	-	-	70,123
Total	\$ 57,744,612	1,962,752	11,643,804	4,758,794	(39,449,385)	70,123
						(39,379,262)
General Revenues and Transfers:						
Property tax levied for:						
General purposes				\$ 12,618,136	-	12,618,136
Capital outlay				1,119,783	-	1,119,783
Statewide sales, services and use tax				4,703,661	-	4,703,661
Unrestricted state grants				30,529,777	-	30,529,777
Unrestricted investment earnings				1,346,115	23,728	1,369,843
Other				249,389	10,625	260,014
Transfers				70,000	(70,000)	-
Total general revenues and transfers				50,636,861	(35,647)	50,601,214
Change in net position				11,187,476	34,476	11,221,952
Net position beginning of year				74,441,895	624,440	75,066,335
Net position end of year				\$ 85,629,371	658,916	86,288,287

* This amount excludes the depreciation/amortization that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2023

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 20,095,203	41,590,621	9,866,061	71,551,885
Receivables:				
Property tax:				
Delinquent	98,028	9,904	15,057	122,989
Succeeding year	12,151,955	1,302,388	1,250,004	14,704,347
Accounts	1,727	-	-	1,727
Lease	385,063	-	-	385,063
Due from other funds	285	-	720	1,005
Due from other governments	3,799,971	377,514	-	4,177,485
Prepaid expenses	6,750	-	-	6,750
Total assets	\$ 36,538,982	43,280,427	11,131,842	90,951,251
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Due to other funds	\$ 3	-	-	3
Accounts payable	3,925,548	293,033	14,424	4,233,005
Salaries and benefits payable	5,076,688	-	581	5,077,269
Total liabilities	9,002,239	293,033	15,005	9,310,277
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	12,151,955	1,302,388	1,250,004	14,704,347
Lease	329,492	-	-	329,492
Other	100,221	-	-	100,221
Total deferred inflows of resources	12,581,668	1,302,388	1,250,004	15,134,060
Fund balances:				
Nonspendable	6,750	-	-	6,750
Restricted for:				
Categorical funding	1,202,153	-	-	1,202,153
Debt service	-	-	4,091,408	4,091,408
Management levy purposes	-	-	4,723,209	4,723,209
Student activities	-	-	358,672	358,672
Support trust purposes	-	-	693,544	693,544
School infrastructure	-	40,281,886	-	40,281,886
Physical plant and equipment	-	1,403,120	-	1,403,120
Assigned	238,500	-	-	238,500
Unassigned	13,507,672	-	-	13,507,672
Total fund balances	14,955,075	41,685,006	9,866,833	66,506,914
Total liabilities, deferred inflows of resources and fund balances	\$ 36,538,982	43,280,427	11,131,842	90,951,251

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2023

Total fund balances of governmental funds (page 20)		\$ 66,506,914
<i>Amounts reported for governmental activities in the Statement of Net Position are different because:</i>		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.		78,382,192
Accrued interest payable on long-term liabilities is not due and payable in the current year and, therefore, is not reported as a liability in the governmental funds.		(196,038)
Blending of the Internal Service Funds to be reflected on an entity-wide basis.		1,825,599
Net premiums/discounts associated with bond issuances are amortized over the life of the bonds in the government-wide financial statements.		(1,816,079)
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:		
Deferred outflows of resources	\$ 4,050,302	
Deferred inflows of resources	<u>(3,533,692)</u>	516,610
Long-term liabilities, including bonds payable, lease agreements, compensated absences payable, net pension liability, and total OPEB liability are not due and payable in the current year and, therefore, are not reported in the governmental funds.		<u>(59,589,827)</u>
Net position of governmental activities (page 18)		<u><u>\$ 85,629,371</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2023

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 10,941,501	1,119,783	1,676,635	13,737,919
Tuition	929,110	-	-	929,110
Other	1,039,046	492,528	615,127	2,146,701
State sources	33,110,366	4,720,754	23,748	37,854,868
Federal sources	12,011,322	-	-	12,011,322
Total revenues	58,031,345	6,333,065	2,315,510	66,679,920
Expenditures:				
Current:				
Instruction:				
Regular	21,848,261	282,056	224,977	22,355,294
Special	8,240,249	-	-	8,240,249
Other	5,405,041	-	372,934	5,777,975
	35,493,551	282,056	597,911	36,373,518
Support services:				
Student	2,531,153	-	13,646	2,544,799
Instructional staff	1,826,070	554,475	8,643	2,389,188
Administration	5,731,525	86,205	205,755	6,023,485
Operation and maintenance of plant	4,653,889	250,500	709,608	5,613,997
Transportation	1,516,423	-	115,381	1,631,804
	16,259,060	891,180	1,053,033	18,203,273
Non-instructional programs:				
Food service operations	-	-	6,020	6,020
Community service operations	29,197	-	-	29,197
	29,197	-	6,020	35,217
Capital outlay	-	8,554,621	-	8,554,621
Long-term debt:				
Principal	-	-	587,967	587,967
Interest and fiscal charges	-	-	602,866	602,866
	-	-	1,190,833	1,190,833
Other expenditures:				
AEA flowthrough	1,984,098	-	-	1,984,098
Total expenditures	53,765,906	9,727,857	2,847,797	66,341,560
Excess (Deficiency) of revenues over (under) expenditures	4,265,439	(3,394,792)	(532,287)	338,360
Other financing sources (uses):				
Insurance proceeds	83,493	-	-	83,493
Proceeds from the sale of equipment	3,850	-	-	3,850
Revenue bond proceeds	-	36,365,000	-	36,365,000
Computer lease proceeds	-	583,475	-	583,475
Premium on bond issuance	-	2,224,475	-	2,224,475
Discount on bond issuance	-	(307,503)	-	(307,503)
Transfer in	70,000	4,758,794	4,422,921	9,251,715
Transfer out	(4,758,794)	(4,422,921)	-	(9,181,715)
Total other financing sources (uses)	(4,601,451)	39,201,320	4,422,921	39,022,790
Change in fund balances	(336,012)	35,806,528	3,890,634	39,361,150
Fund balances beginning of year	15,291,087	5,878,478	5,976,199	27,145,764
Fund balances end of year	\$ 14,955,075	41,685,006	9,866,833	66,506,914

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
TO THE STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2023

Change in fund balances - total governmental funds (page 22) \$ 39,361,150

**Amounts reported for governmental activities in the Statement of Activities
are different because:**

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation/amortization expense in the Statement of Activities. Capital outlay expenditures and depreciation/amortization expense in the current year are as follows:

Capital outlay	\$ 9,266,698	
Depreciation/amortization expense	<u>(2,845,652)</u>	6,421,046

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position. Current year issuances and repayments are as follows:

Issued	(36,948,475)	
Repaid	<u>587,967</u>	(36,360,508)

Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the Statement of Activities, interest expense is recognized as the interest accrues, regardless of when it is due.

(183,338)

Net change in the Internal Service Funds charged back against expenditures made for self-funded insurance on an entity-wide basis.

485,280

The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.

2,660,100

Some revenues reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(19,297)	
Pension expense	757,533	
Total OPEB liability and related expenses	<u>(118,411)</u>	619,825

Premiums/discounts on bond issuances are recorded in the governmental funds as they occur, but are amortized over the life of the bonds in the government-wide financial statements.

(1,816,079)

Change in net position of governmental activities (page 19)

\$ 11,187,476

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2023

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Assets					
Current assets:					
Cash and pooled investments	\$ 844,394	96,763	29,724	970,881	1,856,151
Accounts receivable	9,500	953	-	10,453	-
Due from other governments	-	15,066	-	15,066	-
Due from other funds	126	574	-	700	-
Inventories	22,038	-	-	22,038	-
Total current assets	876,058	113,356	29,724	1,019,138	1,856,151
Noncurrent assets:					
Capital assets, net of accumulated depreciation	59,576	-	-	59,576	-
Total assets	935,634	113,356	29,724	1,078,714	1,856,151
Deferred Outflows of Resources					
Pension related deferred outflows	70,009	30,439	-	100,448	-
OPEB related deferred outflows	3,900	1,512	-	5,412	-
Total deferred outflows of resources	73,909	31,951	-	105,860	-
Liabilities					
Current liabilities:					
Due to other funds	1,579	123	-	1,702	-
Accounts payable	2,379	7,114	-	9,493	30,552
Salaries and benefits payable	42,227	21,691	-	63,918	-
Total current liabilities	46,185	28,928	-	75,113	30,552
Noncurrent liabilities:					
Compensated absences	4,468	693	-	5,161	-
Net pension liability	274,001	84,518	-	358,519	-
Total OPEB liability	9,560	3,707	-	13,267	-
Total noncurrent liabilities	288,029	88,918	-	376,947	-
Total liabilities	334,214	117,846	-	452,060	30,552
Deferred Inflows of Resources					
Pension related deferred inflows	50,578	15,601	-	66,179	-
OPEB related deferred inflows	5,346	2,073	-	7,419	-
Total deferred inflows of resources	55,924	17,674	-	73,598	-
Net Position					
Net investment in capital assets	59,576	-	-	59,576	-
Unrestricted	559,829	9,787	29,724	599,340	1,825,599
Total net position	\$ 619,405	9,787	29,724	658,916	1,825,599

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2023

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Operating revenues:					
Local sources:					
Charges for service	\$ 277,133	230,683	-	507,816	7,851,595
Miscellaneous	10,625	-	-	10,625	-
Total operating revenues	287,758	230,683	-	518,441	7,851,595
Operating expenses:					
Instruction:					
Regular:					
Salaries	-	237,194	-	237,194	-
Benefits	-	124,541	-	124,541	-
Services	-	87,959	-	87,959	-
Supplies	-	17,051	-	17,051	-
	-	466,745	-	466,745	-
Support services:					
Instructional staff:					
Salaries	-	38,619	-	38,619	-
Benefits	-	6,512	-	6,512	-
Services	-	695	-	695	-
	-	45,826	-	45,826	-
Administration:					
Salaries	-	41,580	-	41,580	-
Benefits	-	19,994	-	19,994	-
Services	-	3,013	-	3,013	7,366,315
	-	64,587	-	64,587	7,366,315
Total support services	-	110,413	-	110,413	7,366,315
Non-instructional programs:					
Food service operations:					
Salaries	618,390	-	-	618,390	-
Benefits	27,702	-	-	27,702	-
Supplies	940,550	716	-	941,266	-
Depreciation	17,652	-	-	17,652	-
Total non-instructional programs	1,604,294	716	-	1,605,010	-
Total operating expenses	1,604,294	577,874	-	2,182,168	7,366,315
Operating income (loss)	(1,316,536)	(347,191)	-	(1,663,727)	485,280
Non-operating revenues:					
State sources	10,170	57,500	-	67,670	-
Federal sources	1,479,565	197,240	-	1,676,805	-
Interest income	21,597	2,131	-	23,728	-
Total non-operating revenues	1,511,332	256,871	-	1,768,203	-
Change in net position before other financing sources (uses)	194,796	(90,320)	-	104,476	485,280
Other financing uses:					
Transfer out	(70,000)	-	-	(70,000)	-
Change in net position	124,796	(90,320)	-	34,476	485,280
Net position beginning of year	494,609	100,107	29,724	624,440	1,340,319
Net position end of year	\$ 619,405	9,787	29,724	658,916	1,825,599

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2023**

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Cash flows from operating activities:					
Cash received from sale of lunches and breakfasts	\$ 267,633	229,730	-	497,363	7,851,595
Cash received from miscellaneous	10,625	-	-	10,625	-
Cash payments to employees for services	(744,509)	(364,129)	-	(1,108,638)	-
Cash payments to suppliers for goods or services	(935,795)	(107,486)	-	(1,043,281)	(7,335,763)
Net cash provided by (used in) operating activities	(1,402,046)	(241,885)	-	(1,643,931)	515,832
Cash flows from non-capital financing activities:					
Transfer to the General Fund	(70,000)	-	-	(70,000)	-
Net repayments to the General Fund	(654)	-	-	(654)	-
Net borrowings from the Activity Fund	660	-	-	660	-
Net transactions between Funds	(11,327)	11,327	-	-	-
State grants received	10,170	55,046	-	65,216	-
Federal grants received	1,466,148	200,473	-	1,666,621	-
Net cash provided by non-capital financing activities	1,394,997	266,846	-	1,661,843	-
Cash flows from investing activities:					
Interest on investments	21,597	2,131	-	23,728	-
Net increase in cash and pooled investments	14,548	27,092	-	41,640	515,832
Cash and pooled investments beginning of year	829,846	69,671	29,724	929,241	1,340,319
Cash and pooled investments end of year	\$ 844,394	96,763	29,724	970,881	1,856,151
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (1,316,536)	(347,191)	-	(1,663,727)	485,280
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Commodities consumed	12,705	-	-	12,705	-
Depreciation	17,652	-	-	17,652	-
Change in assets and liabilities:					
Inventories	(3,385)	-	-	(3,385)	-
Accounts receivable	(9,500)	(953)	-	(10,453)	-
Accounts payable	(4,565)	1,948	-	(2,617)	30,552
Salaries and benefits payable	8,446	16,078	-	24,524	-
Net pension liability	263,344	84,518	-	347,862	-
Deferred outflows of resources	731	(13,414)	-	(12,683)	-
Deferred inflows of resources	(367,809)	17,078	-	(350,731)	-
Compensated absences	(442)	604	-	162	-
Total OPEB liability	(2,687)	(553)	-	(3,240)	-
Net cash provided by (used in) operating activities	\$ (1,402,046)	(241,885)	-	(1,643,931)	515,832

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2023, the District received \$12,705 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2023

	Private Purpose Trust Scholarship
Assets	
Cash and pooled investments	\$ 84,973
Liabilities	-
Net Position	
Held in trust for scholarships	\$ 84,973

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2023

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Gifts and contributions	\$ 2,000
Interest income	138
Total additions	<u>2,138</u>
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	<u>2,000</u>
Change in net position	138
Net position beginning of year	<u>84,835</u>
Net position end of year	<u><u>\$ 84,973</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2023

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors' Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation/amortization and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Corse Early Childhood Center Fund is used to account for the daycare operations of the District.

The Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the partial self-funding insurance activities of the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/ Net Position

The following accounting policies are followed in preparing the financial statements:

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2021 assessed property valuations; is for the tax accrual period July 1, 2022 through June 30, 2023 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2022.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and other payments for services not yet provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery and equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost (except for intangible right-to-use lease assets, the measurement of which is discussed under "Leases" below) if purchased or constructed. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Intangible assets follow the same capitalization policies as tangible capital assets and are reported with tangible assets in the appropriate capital asset class. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ -
Buildings	2,500
Land improvements	2,500
Intangibles	100,000
Right-to-use leased assets	5,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	2,500

Land and construction in progress are not depreciated. The other tangible and intangible property, plant, equipment and the right-to-use leased assets are depreciated/amortized using the straight line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Right-to-use leased assets	2-15 years
Machinery and equipment	5-12 years

Leases - Burlington Community School District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability and an intangible right-to-use lease equipment (lease asset) in the government-wide financial statements. The District recognized leases with an initial, individual value of \$5,000 or more.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how Burlington Community School District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

Burlington Community School District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Leases – Burlington Community School District is a lessor for a noncancellable lease of District land. The District recognizes a lease receivable and deferred inflow of resources in the government-wide and governmental fund financial statements.

At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgements include how the Burlington Community School District determines the discount rate it uses to discount the expected lease receipts to present value, lease term and lease receipts.

Burlington Community School District uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension and OPEB expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unamortized Bond Premiums/Discounts - Premiums and discounts associated with new bond issuances are amortized over the life of the bonds in the government-wide financial statements. Premiums and discounts are shown combined on the Statement of Net Position and are amortized using the straight-line method.

Advances from Grantors - Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2023. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition and the Corse Child Care Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund while the portion attributable to the business type activities will be paid primarily by the Enterprise, School Nutrition and Child Care Funds.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) **Cash and Pooled Investments**

The District's deposits in banks at June 30, 2023 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2023, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of \$ 66,918,582, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services.

(3) **Interfund Transfers**

The detail of interfund transfers for the year ended June 30, 2023 is as follows:

Transfer to	Transfer from	Amount
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	\$ 4,154,578
Capital Projects: Statewide Sales, Services and Use Tax	General Fund	4,758,794
Debt Service	Capital Projects: Physical Plant and Equipment Levy	268,343
General Fund	Enterprise Fund: School Nutrition	70,000
Total		<u>\$ 9,251,715</u>

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for reserve requirements and principal and interest payments on the District's revenue bonded indebtedness.

The transfer from the General Fund to the Capital Projects: Statewide Sales Services and Use Tax Fund was to reclassify ESSER III funds.

The transfer from the Capital Projects: Physical Plant and Equipment Levy to the Debt Service Fund was for the District's modular building lease and copier lease.

The transfer from the School Nutrition Fund to the General Fund is for indirect costs incurred during the year.

(4) Capital Assets

Capital assets activity for the year ended June 30, 2023 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated/amortized:				
Land	3,022,794	-	-	3,022,794
Construction in progress	1,802,617	7,893,167	-	9,695,784
Total capital assets not being depreciated/amortized	4,825,411	7,893,167	-	12,718,578
Capital assets being depreciated/amortized:				
Buildings	94,902,931	59,371	134,782	94,827,520
Land improvements	2,608,636	130,613	-	2,739,249
Machinery and equipment	21,774,103	600,072	213,424	22,160,751
Right-to-use leased asset	372,053	583,475	5,166	950,362
Total capital assets being depreciated/amortized	119,657,723	1,373,531	353,372	120,677,882
Less accumulated depreciation/amortization for:				
Buildings	32,921,112	1,871,779	134,782	34,658,109
Land improvements	1,117,590	111,338	-	1,228,928
Machinery and equipment	18,260,054	662,158	213,424	18,708,788
Right-to-use leased asset	223,232	200,377	5,166	418,443
Total accumulated depreciation/amortization	52,521,988	2,845,652	353,372	55,014,268
Total capital assets being depreciated/amortized, net	67,135,735	(1,472,121)	-	65,663,614
Governmental activities capital assets/amortized, net	\$ 71,961,146	6,421,046	-	78,382,192
Business type activities:				
Machinery and equipment	\$ 718,479	-	-	718,479
Less accumulated depreciation	641,251	17,652	-	658,903
Business type activities capital assets, net	\$ 77,228	(17,652)	-	59,576

Depreciation/amortization expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	\$ 257,562
Support services:	
Instructional staff	69,167
Administration	39,471
Operation and maintenance of plant	189,209
Transportation	257,474
	812,883
Unallocated depreciation/amortization	2,032,769
Total governmental activities depreciation/amortization expense	\$ 2,845,652
Business type activities:	
Food service operations	\$ 17,652

(5) Construction Commitments

The District has entered into various contracts totaling \$43,838,562 for a high school air quality project and high school additions and renovations. As of June 30, 2023, costs of \$9,695,784 had been incurred against the contracts. The balance will be paid as work on the project progresses.

(6) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2023 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 7,620,000.00	36,365,000	330,000	43,655,000	1,575,000
Lease agreements	201,103	583,475	257,967	526,611	176,888
Compensated absences	177,820	197,117	177,820	197,117	197,117
Net pension liability	473,737	12,799,644	-	13,273,381	-
Total OPEB liability	2,645,879	-	708,161	1,937,718	-
Total	<u>\$ 11,118,539</u>	<u>49,945,236</u>	<u>1,473,948</u>	<u>59,589,827</u>	<u>1,949,005</u>
Business type activities:					
Compensated absences	\$ 4,999	5,161	4,999	5,161	5,161
Net pension liability	10,657	263,344	-	358,519	-
Total OPEB liability	16,507	-	3,240	13,267	-
Total	<u>\$ 27,164</u>	<u>263,344</u>	<u>3,240</u>	<u>371,786</u>	<u>-</u>

Revenue Bonds

Details of the District's June 30, 2023 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bond issue of July 13, 2021 Series A			Bond issue of May 17, 2023		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2024	2.00 %	\$ 340,000	144,100	5.00 %	\$ 845,000	1,306,247
2025	2.00	350,000	137,250	5.00	990,000	1,215,100
2026	2.00	355,000	130,250	5.00	1,040,000	1,165,600
2027	2.00	360,000	123,100	5.00	1,090,000	1,113,600
2028	2.00	370,000	115,850	5.00	1,145,000	1,059,100
2029-2033	2.00	1,950,000	465,400	5.00	6,655,000	4,376,250
2034-2038	2.00	2,160,000	261,050	5.00	8,490,000	2,537,500
2039-2041	2.00	1,405,000	49,500	4.00	6,115,000	495,600
Total		<u>\$ 7,290,000</u>	<u>1,426,500</u>		<u>\$ 26,370,000</u>	<u>13,268,997</u>

Year Ending June 30,	Bond issue of July 6, 2022			Total		
	Interest Rate	Principal	Interest	Principal	Interest	Total
2024	4.00 %	\$ 390,000	399,800	1,575,000	1,850,147	3,425,147
2025	4.00	405,000	384,200	1,745,000	1,736,550	3,481,550
2026	4.00	420,000	368,000	1,815,000	1,663,850	3,478,850
2027	4.00	440,000	351,200	1,890,000	1,587,900	3,477,900
2028	4.00	455,000	333,600	1,970,000	1,508,550	3,478,550
2029-2033	4.00	2,570,000	1,379,200	11,175,000	6,220,850	17,395,850
2034-2038	4.00	3,125,000	823,000	13,775,000	3,621,550	17,396,550
2039-2041	4.00	2,190,000	177,600	9,710,000	722,700	10,432,700
Total		<u>\$ 9,995,000</u>	<u>4,216,600</u>	<u>43,655,000</u>	<u>18,912,097</u>	<u>62,567,097</u>

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds issued in July 2021, July 2022, and May 2023. The bonds were issued for the purpose of refunding outstanding project notes and bonds issued for said purpose and construction. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2041. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 73% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$62,567,097. For the current year \$330,000 in principal and \$511,681 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$4,703,661.

The resolutions providing for the issuance of the statewide sales, services and use tax revenue bonds require \$3,736,185 to be deposited and maintained in a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient statewide sales, services and use tax revenues are available. In addition, each month the District must set aside a portion of the statewide sales, services and use tax proceeds equal to 1/6 of the upcoming bi-annual interest payments and 1/12 of the upcoming annual principal payments.

Lease Agreements

During the years ended July 1, 2019, September 8, 2022, and January 23, 2023, the District entered into lease agreements for copiers, telephone, and property. The lease agreements bear interest at 2.65% to 7.90% per annum. Details of the District's lease agreement indebtedness at June 30, 2023 are as follows:

Year Ending June 30,	Copier Lease Agreement July 1, 2019			Telephone Lease September 8, 2022		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2024	2.65 % \$	70,948	944	7.90 % \$	55,362	31,992
2025		-	-	7.90	59,735	27,619
2026		-	-	7.90	64,452	22,902
2027		-	-	7.90	69,542	17,812
2028		-	-	7.90	75,034	12,320
2029		-	-	7.90	80,960	6,394
Total		<u>\$ 70,948</u>	<u>944</u>		<u>\$ 405,085</u>	<u>119,039</u>

Year Ending June 30,	Property Lease Agreement January 23, 2023			Total		
	Interest Rate	Principal	Interest	Principal	Interest	Total
2024	3.80 % \$	50,578	1,922	176,888	34,858	211,746
2025		-	-	59,735	27,619	87,354
2026		-	-	64,452	22,902	87,354
2027		-	-	69,542	17,812	87,354
2028		-	-	75,034	12,320	87,354
2029		-	-	80,960	6,394	87,354
Total		<u>\$ 50,578</u>	<u>1,922</u>	<u>526,611</u>	<u>121,905</u>	<u>648,516</u>

(7) Due From and Due to Other Funds

The detail of interfund receivables and payables at June 30, 2023 is as follows:

Receivable Fund	Payable Fund	Amount
General Fund	Enterprise Fund: School Nutrition	\$ 285
Student Activity Fund	Enterprise Fund: School Nutrition	720
Enterprise Fund: Corse Early Childhood Center	Enterprise Fund: School Nutrition	574
Enterprise Fund: School Nutrition	General Fund	3
Enterprise Fund: School Nutrition	Enterprise Fund: Corse Early Childhood Center	123
Total		<u>\$ 1,705</u>

The School Nutrition Fund is repaying the General Fund, Student Activity Fund and Corse Early Childhood Center Fund, for revenues not reallocated by year end. General Fund is repaying the

School Nutrition fund and Corse Early Childhood Center is repaying the School Nutrition fund for revenues not reallocated by year end.

(8) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2023, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2023 were \$2,744,351.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2023, the District reported a liability of \$13,631,900 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2022, the District's proportion was 0.360809%, which was an increase of 0.220497% from its proportion measured as of June 30, 2021.

For the year ended June 30, 2023, the District recognized pension expense of \$694,169. At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 604,301	186,727
Changes of assumptions	11,567	325
Net difference between projected and actual earnings on IPERS' investments	-	1,459,252
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	-	869,990
District contributions subsequent to the measurement date	2,744,351	-
Total	<u>\$ 3,360,219</u>	<u>2,516,294</u>

\$2,744,351 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2024	\$ (1,650,224)
2025	(1,257,496)
2026	(1,944,004)
2027	2,930,415
2028	20,883
Total	<u>\$ (1,900,426)</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2022 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021.

Mortality rates used in the 2022 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	3.57%
International equity	17.5	4.79
Global smart beta equity	6.0	4.16
Core plus fixed income	20.0	1.66
Public credit	4.0	3.77
Cash	1.0	0.77
Private equity	13.0	7.57
Private real assets	8.5	3.55
Private credit	8.0	3.63
Total	100.0%	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 25,397,869	13,631,900	3,262,848

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

(9) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability. The District also offers a voluntary early retirement plan that provides District contributions to individual accounts for eligible medical expenses, which results in a direct subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	16
Active employees	<u>472</u>
Total	<u>488</u>

Total OPEB Liability - The District's total OPEB liability of \$1,950,985 was measured as of June 30, 2023, and was determined by an actuarial valuation as of that date.

Actuarial Assumptions - The total OPEB liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation	2.60% per annum.
Rates of salary increase	3.25-16.25% variable based upon years of service, including inflation.
Discount rate	3.65% compounded annually, including inflation.
Healthcare cost trend rate	10.00% for FY2023 decreasing to an ultimate rate of 3.94% in 2042

Discount Rate - The discount rate used to measure the total OPEB liability was 3.65% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Pre-retirement mortality rates are from the PubG-2010 Employee Table, Generational using MP-2021. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Total OPEB liability beginning of year	\$ 2,662,386
Changes for the year:	
Service cost	136,653
Interest	72,451
Differences between expected and actual experiences	(312,225)
Changes in assumptions	(539,619)
Benefit payments	<u>(68,661)</u>
Net changes	<u>(711,401)</u>
Total OPEB liability end of year	<u><u>\$ 1,950,985</u></u>

Changes of assumptions reflect a change in the discount rate from 3.54% in fiscal year 2022 to 3.65% in fiscal year 2023.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate 1% lower (2.65%) or 1% higher (4.65%) than the current discount rate.

	<u>1% Decrease (2.65%)</u>	<u>Discount Rate (3.65%)</u>	<u>1% Increase (4.65%)</u>
Total OPEB liability	\$ 2,098,771	1,950,985	1,811,431

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (9.00%) or 1% higher (11.00%) than the current healthcare cost trend rates.

	<u>1% Decrease (9.00%)</u>	<u>Healthcare Cost Trend Rate (10.00%)</u>	<u>1% Increase (11.00%)</u>
Total OPEB liability	\$ 1,743,206	1,950,985	2,194,578

OPEB Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2023, the District recognized OPEB expense of \$189,167. At June 30, 2023, the District reported deferred inflows of resources related to OPEB from the following resources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ 439,149	376,795
Changes in assumptions	356,794	714,201
Total	<u><u>\$ 795,943</u></u>	<u><u>1,090,996</u></u>

The amount reported as deferred outflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2024	\$ (19,937)
2025	(19,937)
2026	(19,937)
2027	(19,937)
2028	(18,071)
Thereafter	(197,234)
Total	<u>\$ (295,053)</u>

(10) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$1,984,098 for the year ended June 30, 2023 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(11) Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(12) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund return balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2023.

Program	Amount
Home School Assistance Program (HSAP)	\$ 228,778
Gifted and Talented Programs	38,813
Teacher Leadership State Aid	197,746
Four-Year-Old Preschool State Aid	497,884
Textbook Aid for Nonpublic Students	11,856
Successful Progression for Early Readers	21,915
Professional Development for Model Core Curriculum	31,851
Professional Development	173,310
Total	<u>\$ 1,202,153</u>

(13) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Debt Service	School Infrastructure	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	4,091,408	40,281,886	13,507,672
Capital assets, net of accumulated depreciation/amortization	78,382,192	-	-	-
Revenue bond capitalized indebtedness	(10,709,017)	-	-	-
Lease agreement capitalized indebtedness	(526,611)	-	-	-
Unspent bond proceeds	-	-	(32,945,983)	-
Accrued interest payable	-	(196,038)	-	-
Internal service fund balance	-	-	-	1,825,599
Unamortized bond premiums/discounts, net	-	-	-	(1,816,079)
Compensated absences	-	-	-	(197,117)
Pension related deferred outflows	-	-	-	3,259,771
Pension related deferred inflows	-	-	-	(2,450,115)
Net pension liability	-	-	-	(13,273,381)
Total OPEB liability	-	-	-	(1,937,718)
OPEB related deferred outflows	-	-	-	790,531
OPEB related deferred inflows	-	-	-	(1,083,577)
Prepaid expenses	-	-	-	6,750
Assigned fund balance	-	-	-	238,500
Net position (Exhibit A)	\$ 67,146,564	3,895,370	7,335,903	(1,129,164)

(14) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the City of West Burlington and Des Moines County offered an urban revitalization tax abatement program pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2023 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban Renewal and Economic Development Projects	\$ 474,826
City of Burlington	Urban Revitalization	\$ 427,280
City of West Burlington	Urban Revitalization	\$ 1,446
Des Moines County	Urban Revitalization	\$ 115,536

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2023, this reimbursement amounted to \$233,639.

(15) Implementation of Accounting Standard

Governmental Accounting Standards Board Statement No. 96, Subscription-Based Information Technology Arrangements (SBITAs) was implemented during fiscal year 2023, however, implementation had no effect on the District for the year ended June 30, 2023.



Burlington Community School District

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2023

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 16,813,730	542,169	17,355,899	15,868,629	15,868,629	1,487,270
State sources	37,854,868	67,670	37,922,538	38,854,107	38,854,107	(931,569)
Federal sources	12,011,322	1,676,805	13,688,127	12,500,000	12,500,000	1,188,127
Total revenues	66,679,920	2,286,644	68,966,564	67,222,736	67,222,736	1,743,828
Expenditures/Expenses:						
Instruction	36,373,518	466,745	36,840,263	39,350,400	39,350,400	2,510,137
Support services	18,203,273	110,413	18,313,686	20,212,000	20,212,000	1,898,314
Non-instructional programs	35,217	1,605,010	1,640,227	1,684,650	1,684,650	44,423
Other expenditures	11,729,552	-	11,729,552	17,966,356	17,966,356	6,236,804
Total expenditures/expenses	66,341,560	2,182,168	68,523,728	79,213,406	79,213,406	10,689,678
Excess (Deficiency) of revenues over (under) expenditures/expenses	338,360	104,476	442,836	(11,990,670)	(11,990,670)	12,433,506
Other financing sources, net	39,022,790	(70,000)	38,952,790	20,150,000	20,150,000	18,802,790
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	39,361,150	34,476	39,395,626	8,159,330	8,159,330	31,236,296
Balances beginning of year	27,145,764	624,440	27,770,204	36,059,354	36,059,354	(8,289,150)
Balances end of year	\$ 66,506,914	658,916	67,165,830	44,218,684	44,218,684	22,947,146

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2023

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF
THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST NINE YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2023	2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.360809%	0.140312%	0.351447%	0.366880%	0.337102%	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	\$ 13,632	484	24,688	21,245	23,479	25,490	25,057	19,713	16,120
District's covered payroll	\$ 29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll	46.71%	1.72%	88.38%	76.08%	84.12%	89.17%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	91.40%	100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Statutorily required contribution	\$ 2,744	2,755	2,653	2,637	2,636	2,493	2,553	2,554	2,445	2,376
Contributions in relation to the statutorily required contribution	(2,744)	(2,755)	(2,653)	(2,637)	(2,636)	(2,493)	(2,553)	(2,554)	(2,445)	(2,376)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 29,071	29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385	26,607
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	9.44%	9.44%	8.93%	8.93%	8.93%	8.93%	8.93%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2023

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S
TOTAL OPEB LIABILITY, RELATED RATIOS AND NOTES
FOR THE LAST SIX YEARS
REQUIRED SUPPLEMENTARY INFORMATION

	2023	2022	2021	2020	2019	2018
Service cost	\$ 136,653	193,867	202,917	138,145	146,369	122,623
Interest cost	72,451	56,918	58,669	83,124	89,959	64,098
Differences between expected and actual experiences	(312,225)	299,776	(136,321)	-	364,009	-
Changes in assumptions	(539,619)	(265,799)	158,706	191,623	221,278	(38,306)
Benefit payments	(68,661)	(126,565)	(274,077)	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability	(711,401)	158,197	9,894	104,675	670,572	(44,256)
Total OPEB liability beginning of year	2,662,386	2,504,189	2,494,295	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	<u>\$ 1,950,985</u>	<u>2,662,386</u>	<u>2,504,189</u>	<u>2,494,295</u>	<u>2,389,620</u>	<u>1,719,048</u>
Covered-employee payroll	\$ 22,991,322	25,311,685	26,193,199	24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll	8.49%	10.52%	9.56%	10.00%	9.66%	6.85%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION- OPEB LIABILITY AND RELATED
RATIOS
YEAR ENDED JUNE 30, 2023

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Reporting period ended June 30, 2023	3.65%
Reporting period ended June 30, 2022	3.54%
Reporting period ended June 30, 2021	2.16%
Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2023

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Assets						
Cash and pooled investments	\$ 4,716,571	362,034	694,848	5,773,453	4,092,608	9,866,061
Receivables:						
Delinquent	15,057	-	-	15,057	-	15,057
Succeeding year	1,250,004	-	-	1,250,004	-	1,250,004
Due from other funds	-	720	-	720	-	720
Total assets	\$ 5,981,632	362,754	694,848	7,039,234	4,092,608	11,131,842
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	\$ 8,419	3,501	1,304	13,224	1,200	14,424
Salaries and benefits payable	-	581	-	581	-	581
Total liabilities	8,419	4,082	1,304	13,805	1,200	15,005
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property taxes	1,250,004	-	-	1,250,004	-	1,250,004
Fund balances:						
Restricted for:						
Debt service	-	-	-	-	4,091,408	4,091,408
Management levy purposes	4,723,209	-	-	4,723,209	-	4,723,209
Student activities	-	358,672	-	358,672	-	358,672
Support trust purposes	-	-	693,544	693,544	-	693,544
Total fund balances	4,723,209	358,672	693,544	5,775,425	4,091,408	9,866,833
Total liabilities, deferred inflows of resources and fund balances	\$ 5,981,632	362,754	694,848	7,039,234	4,092,608	11,131,842

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2023

	Special Revenue				
	Management Levy	Student Activity	Support Trust	Total	Debt Service
					Total Nonmajor
Revenues:					
Local sources:					
Local tax	\$ 1,676,635	-	-	1,676,635	-
Other	132,214	404,773	28,445	565,432	49,695
State sources	23,748	-	-	23,748	-
Total revenues	1,832,597	404,773	28,445	2,265,815	49,695
Expenditures:					
Current:					
Instruction:					
Regular	188,774	-	36,203	224,977	-
Other	-	372,934	-	372,934	-
Support services:					
Student	13,646	-	-	13,646	-
Instructional staff	8,643	-	-	8,643	-
Administration	205,755	-	-	205,755	-
Operation and maintenance of plant	709,608	-	-	709,608	-
Transportation	115,381	-	-	115,381	-
Non-instructional programs:					
Food service operations	6,020	-	-	6,020	-
Long-term debt:					
Principal	-	-	-	-	587,967
Interest and fiscal charges	-	-	-	-	602,866
Total expenditures	1,247,827	372,934	36,203	1,656,964	1,190,833
Excess (Deficiency) of revenues over (under) expenditures	584,770	31,839	(7,758)	608,851	(1,141,138)
Other financing sources:					
Transfer in	-	-	-	-	4,422,921
Change in fund balances	584,770	31,839	(7,758)	608,851	3,281,783
Fund balances beginning of year	4,138,439	326,833	701,302	5,166,574	809,625
Fund balances end of year	\$ 4,723,209	358,672	693,544	5,775,425	4,091,408

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 CAPITAL PROJECTS FUND ACCOUNTS
 JUNE 30, 2023

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 40,076,057	1,514,564	41,590,621
Delinquent	-	9,904	9,904
Succeeding year	-	1,302,388	1,302,388
Due from other governments	377,514	-	377,514
Total assets	\$ 40,453,571	2,826,856	43,280,427
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 171,685	121,348	293,033
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,302,388	1,302,388
Fund balances:			
Restricted for:			
School infrastructure	40,281,886	-	40,281,886
Physical plant and equipment	-	1,403,120	1,403,120
Total fund balances	40,281,886	1,403,120	41,685,006
Total liabilities, deferred inflows of resources and fund balances	\$ 40,453,571	2,826,856	43,280,427

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2023

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,119,783	1,119,783
Other	460,129	32,399	492,528
State sources	4,703,661	17,093	4,720,754
Total revenues	5,163,790	1,169,275	6,333,065
Expenditures:			
Current:			
Instruction:			
Regular	248,500	33,556	282,056
Support services:			
Instructional staff	-	554,475	554,475
Administration	86,205	-	86,205
Operation and maintenance of plant	-	250,500	250,500
Capital outlay	7,818,890	735,731	8,554,621
Total expenditures	8,153,595	1,574,262	9,727,857
Deficiency of revenues under expenditures	(2,989,805)	(404,987)	(3,394,792)
Other financing sources (uses):			
Revenue bond issuance	36,365,000	-	36,365,000
Computer lease proceeds		583,475	583,475
Premium on bond issuance	2,224,475	-	2,224,475
Discount on bond issuance	(307,503)	-	(307,503)
Transfer in	4,758,794	-	4,758,794
Transfer out	(4,154,578)	(268,343)	(4,422,921)
Total other financing sources (uses)	38,886,188	315,132	39,201,320
Change in fund balances	35,896,383	(89,855)	35,806,528
Fund balances beginning of year	4,385,503	1,492,975	5,878,478
Fund balances end of year	\$ 40,281,886	1,403,120	41,685,006

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2023

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Activity Fund	\$ 1,996	-	1,841	155
BHS Drama	-	2,355	1,716	639
BHS Vocal	3,560	100	689	2,971
BHS Orchestra	185	-	112	73
BHS Band	1,949	53,919	53,767	2,101
BHS Jazz Band	-	115	-	115
BHS Music/Drama	8,511	11,547	5,298	14,760
BHS Middle School Ath	17,745	20,835	10,363	28,217
BHS Future Grayhound B-Ball	4,927	-	-	4,927
BHS Gen Athletics	66,476	33,626	31,034	69,068
BHS Cross Country	-	424	424	-
BHS Future Grayhound Swimming	200	-	200	-
BHS Cheerleading	13,992	5,291	9,559	9,724
BHS Boys Basketball	12,731	14,608	14,549	12,790
BHS Football	16,154	38,205	31,950	22,409
BHS Boys Soccer	8,754	5,951	7,380	7,325
BHS Baseball	11,049	21,273	19,214	13,108
BHS Boys Track	-	7,151	7,151	-
BHS Boys Tennis	230	-	230	-
BHS Boys Golf	-	300	300	-
BHS Boys Swim	18,839	5,569	7,973	16,435
BHS Wrestling	-	6,600	6,573	27
BHS Girls Basketball	-	12,470	7,808	4,662
BHS Volleyball	7,926	20,334	12,710	15,550
BHS Girls Soccer	3,603	5,759	5,654	3,708
BHS Softball	4,282	15,475	15,371	4,386
BHS Girls Track	144	7,311	7,455	-
BHS Girls Tennis	418	410	-	828
BHS Girls Golf	-	645	567	78
BHS Girls Swim	8,790	6,713	4,362	11,141
BHS Art Club	1,690	-	-	1,690
BHS Kiwanis Key Club	316	-	316	-
BHS Purple & Gray	50	-	50	-
BHS International Club	258	-	258	-
BHS Pathfinder	4,144	8,514	12,658	-
BHS Ecology Club	2,102	-	2,102	-
BHS Varsity Club	23,714	38,623	31,257	31,080
BHS Coffee Shop	1,971	-	-	1,971
BHS Grayhound Graphics	1,184	12,220	6,260	7,144
BHS Junior Class	11,886	6,818	5,693	13,011
BHS Sophomore Class	247	-	-	247
BHS Senior Class	7,311	-	-	7,311
BHS Honor Society	-	553	316	237
BHS St Council	8,793	27,510	23,909	12,394
BHS Dream Catchers	2,017	-	2,017	-
BHS FCCLA	5,189	-	124	5,065
BHS IA Club	1,374	323	1,373	324
BHS Math Club	26	-	25	1
BHS Tech Student Assoc	3,984	4,337	3,054	5,267
BHS Manufacturing Club	857	714	-	1,571
BHS Deca	2,379	639	2,058	960
BHS BPA Club	788	-	-	788
BHS Dance Team	89	1,655	1,744	-
BHS Color Guard	18	-	-	18
BHS Hounds For Help	1,176	-	-	1,176
BHS Swing Dance	427	-	427	-
BHS Health Occupations (HOSA)	4,485	1,180	4,174	1,491
BHS GLSA Club	97	280	17	360
Other Buildings:				
Black Hawk	3,045	1,970	1,824	3,191
Corse	246	-	-	246
Grimes	803	-	175	628
James Madison	11,731	470	890	11,311
North Hill	1,315	-	709	606
Oak Street	10,660	1,981	7,254	5,387
Total	\$ 326,833	404,773	372,934	358,672

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2023

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Gueglar Trust	\$ 14,410	-	-	14,410
John H Witte Foundation	1	-	-	1
Dorothy Lind Music	274,567	34	22,184	252,417
Burlington Education Foundation	4,604	14,163	14,019	4,748
Wedertz Music	55	-	-	55
Wagner Softball Field	3,275	58	-	3,333
Wayne Duke Baseball	2,244	-	-	2,244
James Anders	138,385	14,182	-	152,567
Stiefel Athletic Track	11,441	8	-	11,449
Bell Trust	252,320	-	-	252,320
Total	\$ 701,302	28,445	36,203	693,544

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2023

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Miscellaneous Scholarship	\$ 1,681	-	-	1,681
Adams Scholarship	34,764	-	-	34,764
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,141	2	-	1,143
Haberichter Scholarship	678	2	-	680
Minority Scholarship	-	-	-	-
Johannsen Scholarship	12,893	58	-	12,951
Perrine Scholarship	1,850	-	150	1,700
Wehman Scholarship	4,859	76	-	4,935
Student Council Scholarship	128	2,000	1,100	1,028
Ecology Scholarship	508	-	-	508
Huppenbauer Science Scholarship	4,719	-	500	4,219
Berquist Music Scholarship	17,817	-	-	17,817
Jefferson Nurse Scholarship	450	-	250	200
FCCLA Scholarship	3,000	-	-	3,000
Bila Scholarship	277	-	-	277
Total	\$ 84,835	2,138	2,000	84,973

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Revenues:										
Local sources:										
Local tax	\$ 13,737,919	15,136,990	15,420,953	14,669,263	15,281,832	15,109,698	14,414,004	14,352,078	13,728,463	13,247,611
Tuition	929,110	1,051,530	632,202	766,192	908,880	798,301	734,594	666,068	773,989	747,319
Other	2,146,701	759,764	614,981	1,027,797	1,170,962	1,241,246	860,478	1,270,050	2,136,096	919,649
State sources	37,854,868	37,765,899	36,624,631	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654	38,633,289	35,713,620
Federal sources	12,011,322	8,607,930	6,283,197	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529	3,523,851	3,667,089
Total	\$ 66,679,920	63,322,113	59,575,964	56,991,809	57,682,677	58,132,205	57,552,687	57,913,379	58,795,688	54,295,288
Expenditures:										
Instruction:										
Regular	\$ 22,355,294	22,301,814	21,774,302	20,908,020	21,837,640	21,803,196	21,932,930	22,030,385	21,265,845	21,038,676
Special	8,240,249	8,256,405	8,508,522	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365	8,374,707	9,004,603
Other	5,777,975	5,706,809	5,338,018	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462	4,073,374	4,407,776
Support services:										
Student	2,544,799	2,382,173	2,107,592	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041	2,036,219	1,942,209
Instructional staff	2,389,188	2,136,146	2,087,069	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018	2,283,938	1,065,944
Administration	6,023,485	5,627,195	5,349,151	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751	5,012,281	4,982,721
Operation and maintenance of plant	5,613,997	4,976,077	4,685,993	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216	3,884,968	3,845,625
Transportation	1,631,804	1,677,104	1,286,861	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144	1,451,216	1,482,560
Non-instructional programs	35,217	60,783	28,397	23,010	21,620	41,799	32,122	40,610	56,062	39,651
Capital outlay	8,554,621	2,489,106	714,240	835,568	1,030,789	1,109,633	1,120,453	1,055,201	1,814,612	2,368,609
Long-term debt:										
Principal	587,967	20,766,259	1,970,000	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000	1,695,000	1,655,000
Interest	602,866	291,761	774,869	847,829	917,621	985,677	1,052,328	1,112,015	1,166,453	1,221,302
Other expenditures:										
AEA flowthrough	1,984,098	1,984,145	1,993,363	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978	2,009,543	1,909,154
Total	\$ 66,341,560	78,655,777	56,618,377	54,850,908	55,894,787	55,860,257	56,441,075	55,877,186	55,124,218	54,963,830

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2023**

Grantor/Program	Assistance Listing Number	Pass-Through Entity Identifying Number	Expenditures
Indirect:			
U.S. Department of Agriculture:			
Passed through Iowa Department of Education:			
Child Nutrition Cluster:			
School Breakfast Program	10.553	FY 23	\$ 230,187
National School Lunch Program	10.555	FY 23	1,236,281
Summer Food Service Program for Children	10.559	FY 23	13,098
Total - Child Nutrition Cluster			<u>1,479,566</u>
Child and Adult Care Food Program	10.558	FY 23	38,715
Total U.S. Department of Agriculture			<u>1,518,281</u>
U.S. Department of Education:			
Passed Through Iowa Department of Education:			
Title I Grants to Local Educational Agencies	84.010	FY 23	1,862,705
Career and Technical Education - Basic Grants to States	84.048	FY 23	75,655
Twenty-First Century Community Learning Centers	84.287	FY 23	365,331
REAP (Rural Education)	84.358	FY 23	90,752
Supporting Effective Instruction State Grants	84.367	FY 23	207,433
Student Support and Academic Enrichment Program	84.424	FY 23	114,915
Education Stabilization Fund:			
Discretionary Grants: Rethink K-12 Education Models Grants	84.425B	FY 23	12,150
COVID-19 Governor's Emergency Education Relief (GEER) Fund	84.425C	FY 23	50,514
COVID-19 Elementary and Secondary School Relief (ESSER) Fund	84.425D	FY 23	735,746
American Rescue Plan - Elementary and Secondary School Emergency Relief	84.425U	FY 23	6,359,305
American Rescue Plan - Homeless children and Youth	84.425W	FY 23	13,403
Total - Education Stabilization Fund			<u>7,171,118</u>
Passed Through Iowa Workforce Development:			
American Rescue Plan - Elementary and Secondary School Emergency Relief	84.425U	FY 23	156,691
Passed Through Great Prairie Area Education Agency:			
Special Education Grants to States	84.027	FY 23	201,556
English Language Acquisition State Grants	84.365	FY 23	3,010
			<u>204,566</u>
Passed Through Iowa Vocational Rehabilitation Services:			
Rehabilitation Services - Vocational Rehabilitation Grants to States	84.126	FY 23	36,618
Total U.S. Department of Education			<u>10,285,784</u>
U.S. Department of Health and Human Services:			
Passed Through Iowa Department of Education:			
Public Health Emergency Response: Cooperative Agreement for Emergency Response: Public Health Crisis Response	93.354	FY23	46,768
Foster Care Title IV-E	93.658	FY23	347
			<u>47,115</u>
Passed through Iowa Department of Human Services:			
Promoting Safe and Stable Families	93.575	FY23	114,000
Child Care and Development Block Grant	93.556	FY 23	158,525
Total U.S. Department of Health and Human Services			<u>319,640</u>
Total			<u>\$ 12,123,705</u>

* - Includes \$12,705 of non-cash awards.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2023. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District uses a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2023, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated March 12, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and, therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified certain deficiencies in internal control, described in Part II of the accompanying Schedule of Findings and Questioned Costs as items 2023-001 that we consider to be a significant deficiency.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters which are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2023 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Government Auditing Standards requires the auditor to perform limited procedure on Burlington Community School District's responses to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the responses.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2024
Newton, Iowa

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(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of Burlington Community School District's major federal programs for the year ended June 30, 2023. Burlington Community School District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Burlington Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Burlington Community School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Burlington Community School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Burlington Community School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Burlington Community School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence judgement made by a reasonable user of the report on compliance about Burlington Community School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Burlington Community School District's compliance with the compliance requirements referred to above and performing other such procedures as we considered necessary in the circumstances.
- Obtain an understanding of Burlington Community School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weakness as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink, appearing to read "Nolte, Cornman & Johnson PC". The signature is stylized and cursive.

NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2024
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2023

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.
- (g) Major programs were as follows:
 - Child Nutrition Cluster
 - Assistance Listing Number 84.425 - Education Stabilization Fund
 - Assistance Listing Number 84.367 – Supporting Effective Instruction State Grant (Title IIA)
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District did not qualify as a low-risk auditee.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2023

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

2023-001 Negative Lunch Account Balances

Criteria - Management is responsible for implementing and maintaining policies and procedures related to the collection of revenue for meals served by the School Nutrition Program.

Condition - It was noted during the audit the School Nutrition Fund appears to be carrying numerous negative student and adult lunch account balances on its books as of June 30, 2023, some of which appear to be excessive in amount.

Cause - The District's policies and procedures do not appear to currently ensure adequate collection of revenues earned for meals served which enables patrons to accumulate significant deficit balances owed.

Effect - Potentially ineffective or unenforced policies and procedures over lunch account revenue and related balances could result in the District forgoing or not collecting revenue to which it is entitled for meals served.

Recommendation - The District should review its policies and procedures regarding the treatment of deficit student lunch account balances aimed at discouraging accounts from becoming excessively negative. The District should try various collection techniques to collect the balances owed.

Response - The District is reviewing current policies and procedures to reduce the number of student lunch balances becoming negative and improve collection efforts for students with negative balances.

Conclusion - Response accepted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2023

Part IV: Other Findings Related to Required Statutory Reporting:

2023-A Certified Budget - District disbursements for the year ended June 30, 2023 did not exceed the certified budgeted amounts.

2023-B Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

2023-C Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

2023-D Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher	Owens Grayhound Painting	\$55,681
Bryan Bross, Board Member	Employee at Klinger & Associates	\$1,036

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with the District employee do not appear to represent a conflict of interest.

In accordance with Chapter 279.7A of the Code of Iowa, the above transactions with the district board member do not appear to represent conflicts of interest.

2023-E Restricted Donor Activity - No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

2023-F Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

2023-G Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

2023-H Certified Enrollment - We noted variances in the enrollment data certified to the Iowa Department of Education was overstated by 2.00 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2023-I Supplementary Weighting - We noted the supplementary weighting data certified to the Iowa Department of Education was overstated by 0.142 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2023-J Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

2023-K Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

2023-L Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.

2023-M Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2023, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 4,385,503
Revenues:		
Sales tax revenues	\$ 4,703,661	
Sale of long-term debt	38,589,475	
Transfer from other funds	4,758,794	
Other local revenues	<u>460,129</u>	<u>48,512,059</u>
Expenditures/transfers out:		
School infrastructure construction	7,818,890	
Other	642,208	
Transfers to other funds:		
Debt service fund	<u>4,154,578</u>	<u>12,615,676</u>
Ending balance		<u><u>\$ 40,281,886</u></u>

For the year ended June 30, 2023, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

2023-N Student Activity Fund - In accordance with Chapter 298A.8 of the Code of Iowa and Iowa Administrative Code 281-12.6(1), the purpose of the Student Activity Fund is to account for financial transactions related to the cocurricular and extracurricular activities offered as a part of the education program for students. In the course of our audit, questions arose about the propriety of certain accounts within the Student Activity Fund.

Inactive Accounts: We noted during our audit that the District is maintaining a BHS Future Grayhound B-Ball, BHS Sophomore Class, and BHS Color Guard accounts within the Student Activity Fund that have had no activity for at least four years.

Recommendation - The District should review these accounts to determine if the groups are still active or if the accounts should be closed and the remaining balances reallocated per the discretion of the Board of Education.

Response - The District is reviewing dormant activity funds and those with no activity will be closed and the balances reallocated to other activity accounts.

Conclusion - Response accepted.

Scholarships Awarded: We noted fundraising for scholarships was deposited into the Student Activity Fund and subsequently transferred to the Scholarship Fund. Money in the Student Activity Fund is considered to be public funds and is inappropriate to be given to individuals.

Recommendation - When fundraising takes place, the District should deposit the proceeds into the appropriate fund. Moneys fundraised for scholarships should be receipted and expensed from the Private Purpose Trust Fund. Furthermore, scholarships should not be paid from the Student Activity Fund as those expenses are not extracurricular or co-curricular in nature.

Response - Receipts from student activities for payment of scholarships will be deposited into the scholarship fund.

Conclusion - Response accepted.